

EXCLUSIVE

IAS PRELIMS 2026

CURRENT AFFAIRS

REVISION

GS-1 (DYNAMIC)

MODULE - 13



**INDIAN
ECONOMY - 3**

EGMONT GROUP AND FIU-INDIA

- The Egmont Group is the united body of **Financial Intelligence Units (FIUs)**.
- Indian FIU is called **FIU-India**.
- It is a platform for the **secure exchange** of **financial intelligence** with various countries to combat **money laundering** and terrorist financing.



वित्तीय आसूचना एकक - भारत

Financial Intelligence Unit - India

सत्यमेव जयते

MINISTRY OF FINANCE, GOVERNMENT OF INDIA

SERIOUS FRAUD INVESTIGATION OFFICE (SFIO)

- SFIO is under the **Corporate Affairs Ministry**.
- It looks at **serious white collar crimes** (corporate frauds) on stand-alone basis.
- As per critics, the organization is **not able to function effectively** on stand-alone basis.



सत्यमेव जयते

SFIO

Serious Fraud Investigation Office



RUPEE DEPRECIATION



BENEFICIARIES

- 1 Exporters will be the gainers.
- 2 Indian Multinational Companies, which have their operations abroad.
- 3 Indians, who are dependent on foreign remittances.
- 4 IT/ BPO sector will be benefitted.

LOSERS

- 1 Oil imports will become costlier.
- 2 Corporates will be affected because of more cost on capital goods.
- 3 Foreign Portfolio Investors will be affected because of rupee depreciation, as they get less dollars.
- 4 Foreign tours will become costlier because of depreciation of currency.
- 5 The companies which have outstanding debt in foreign currency, without hedging, will be affected.

KNOW ABOUT HYBRID ANNUITY MODEL

- In **EPC** (Engineering, Procurement and Construction) model, entire cost is borne by the Government.
 - In the **BOT** (Build-Operate-Transfer), entire cost is borne by the private developer, and he also assumes traffic risk.
 - **Hybrid Annuity Model** (HAM) is the amalgamation of EPC and BOT.
- **Government** releases **40%** (it may vary) of the total project cost, during the project execution, and the balance **60%** is borne by the developer. It is paid back by the Government annually, which is known as '**Annuity**'.
 - Here, the developers are not taking any **traffic risk**. The traffic risk lies with the Government.
 - **HAM** is considered one of the success stories in recent times in the **Highway construction**.





- The base for the Index of Eight Core Industries is 2011-12. The Eight Core Industries comprise 40.27% of the weight of items included in the Index of Industrial Production (IIP).
- The weightages of these Eight Core Industries is given under :
 - ✓ Petroleum Refinery Products - 28.04%
 - ✓ Electricity - 19.85%.
 - ✓ Steel - 17.92%.
 - ✓ Coal - 10.33%.
 - ✓ Crude Oil - 8.98%.
 - ✓ Natural Gas - 6.88%.
 - ✓ Cement - 5.37%.
 - ✓ Fertilizers - 2.63%.

What do you know about the Cross-Border Insolvency Provisions under IPC ?



- Section 234 allows the Indian Government to enforce IBC provisions in foreign countries through reciprocal agreements.
- Section 235 outlines the procedure for seeking assistance from Foreign Courts through a letter of request.
- However, the Central Government not notified these Sections. Hence, they are legally unenforceable for the time being.



- Liquidity Coverage Ratio (LCR) promotes the short-term resilience of the liquidity risk profile of banks by ensuring that they have an adequate stock of unencumbered High-Quality Liquid Assets (HQLA) that can be converted easily and immediately in private markets into cash to meet their liquidity needs for a 30-day liquidity stress scenario.
- Originally, the RBI, through a circular proposed Basel III Framework on LCR from April 1, 2025. Later, the RBI said that LCR will not be implemented at least before March 31, 2026.



- Price to Earnings Ratio is popularly known as PE Ratio.
- Price to Earnings Ratio or Price to Earnings Multiple is the ratio of share price of a stock to its Earnings Per Share (EPS).
- It is one of the most popular valuation metric of stocks.
- It helps to assess the relative value of a company's stock.
- It is handy for comparing a company's valuation against its historical performance against other firms within its industry, or the overall market.

What do you know about the RBI's Prompt Corrective Action (PCA) Framework for Urban Cooperative Banks (UCBs)?



- Around 500 weak Urban Cooperative Banks (UCBs), which are currently under the Reserve Bank of India's Supervisory Action Framework (SAF) have transitioned to the Prompt Corrective Action (PCA) framework for remedial action with effect from April 1, 2025.
- The Central Bank's PCA framework will replace the SAF for financially unsound and poorly managed UCBs from April 1.
- The SAF for weak UCBs, which was introduced in 2012 envisages, in the initial stage of deterioration in the financial position, self corrective action by their management first and the supervisory action by the RBI in case the financial position of the bank does not improve.

What are the new rules pertaining to the Priority Sector Lending (PSL) target for Small Finance Banks (SFBs)?



- The Reserve Bank of India (RBI) has proposed a significant relaxation in its rules covering Small Finance Banks (SFBs).
- Beginning 2025-26, SFBs will be required to meet a Priority Sector Lending (PSL) target of only 60% compared to the 75% in place until 2024-25.
- As with other classes of banks, small finance banks must continue to extend 40% of their net credit to agriculture, micro enterprises, weaker sections, affordable housing, renewables and other designated priority sectors. Earlier they were required to earmark an additional 35% towards any of these segments - this has now been reduced to 20%.

SFBs account for less than 5% of outstanding priority sector credit from Scheduled Commercial Banks.



- This has been implemented from May 1, 2025.
- By exercising the powers under the Regional Rural Banks Act, 1976, the Central Government has restructured the Regional Rural Banks architecture. There will be single Regional Rural Bank in any state.
- In fact, the Central Government initiated structural consolidation of RRBs in FY2004-05, which resulted in a reduction in the number of RRBs from 196 in the FY2004-05 to 43 by FY2020-21. Now, after consultation with stakeholders, amalgamation of 26 RRBs in 10 States and one UT have been carried out.
- Post amalgamation, there will be 28 RRBs in 26 States and two UTs with more than 22,000 branches covering 700 districts.

What are the changes made to the Priority Sector Lending (PSL) guidelines by RBI from 1st April 2025?



- Housing loans of up to Rs. 50 lakh can now claim PSL classification compared to the Rs. 35-lakh limit that was in-vogue earlier. For Centers with population greater than 10 lakh, bank loans of up to Rs. 45 lakh will get the PSL tag. For Centers with over 50 lakh population, loans up to Rs. 50 lakh will qualify.
- Monetary limits on loans towards solar and biomass power equipment and street lighting systems have been raised from Rs. 30 crore to Rs. 35 crore.
- Artisans and women borrowers will see an increase in their individual eligibility limits from Rs. 1 lakh to Rs. 2 lakh.
- Transgenders and joint liability groups are now eligible for priority sector loans.
- Individual and corporate farmers are eligible to tap into crop loans of up to Rs. 90 lakh and Rs. 4 crore respectively against hypothecation of produce.
- Loan limits for FPOs set at Rs. 10 crore.
- The ceiling for educational loans has been enhanced from Rs. 20 lakh to Rs. 25 lakh.

What are the Financial and Regulatory Changes that came into effect from April 1, 2025?



- The Unified Pension Scheme (UPS), which guarantees monthly minimum pension payout to Central Government employees, went live on April 1.
- New tax slabs along with an increase in standard deduction will result in nil tax for individuals up to Rs. 12.75 lakh of salary income.
- The exemption limit for Tax Collected at Source (TCS) on foreign travel and other transactions increased from Rs. 7 lakh to Rs. 10 lakh.
- Risk weights on bank loans to NBFCs restored to 100% from the earlier 125%.
- Equalization levy on online advertisements is discontinued from April 1, 2025. This will give a boost to ads spend on Google, Meta and others.
- Under the priority sector lending guidelines, the limits across education and other loan categories has been enhanced.

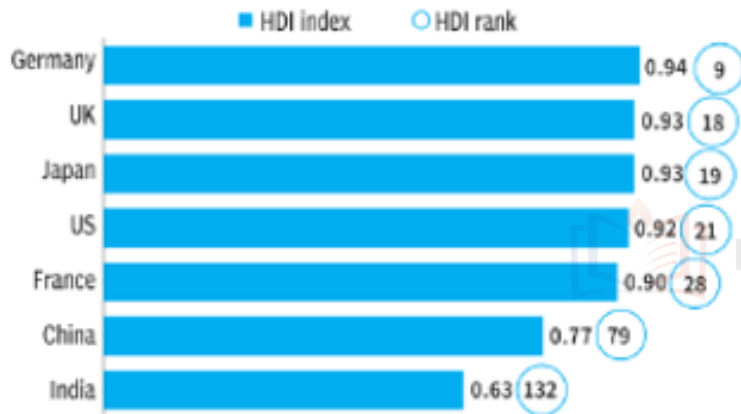
What do you know about the imposition and discontinuation of Equalization Levy?



- In 2016, the government had introduced an Equalization Levy of 6% on payments for digital advertisement services to non-resident entities exceeding Rs. 1 lakh. It was colloquially referred to as Google tax.
- In 2022, a 2% Equalization Levy was also imposed on e-commerce sites offering digital services. Thereafter, the Indian Government did away with the 2% levy from August 1, 2024.
- Subsequently, it moved to scrap the levy on online advertisements as part of the amendments to the Finance Bill 2025.

The levying of such taxes is intended to ensure that multinational tech firms pay their fair share of tax to market countries in a hard to tax sector.

HDI rank and Index of the 7 biggest economies by GDP



- The term “developed country” doesn’t have single accepted definition.
- The United Nations Development Programme (UNDP) has a threshold of the 75th percentile in HDI distribution to be classified as a developed country. India lags behind in the HDI rank mainly because of its low life expectancy and per capita income.
- World Bank classifies countries whose GNI per capita is above \$13,845 as high-income countries.

India's goal is to become a developed country by 2047.

What do you know about various statistics pertaining to the export of merchandise goods and services from India during 2024-25?



- India's overall exports touched an all time high of \$825 billion in 2024-25 against \$778 billion in 2023-24.
- In 2024-25, the merchandise goods exports stood at \$437 billion and the services exports stood at \$387 billion.
- Federation of Indian Export Organizations (FIEO) has said the overall exports in the year 2025-26 are expected to touch \$1 trillion with 21% year on year growth.
- Free Trade Agreements were signed with countries such as the UAE, Australia and the European Free Trade Association (EFTA) in recent years.

What do you know about the Fiscal Responsibility and Budget Management (FRBM) Act, 2003?



- The FRBM Act, 2003 was enacted with the Parliament of India to institutionalize fiscal discipline, reducing the fiscal deficit, improving macroeconomic management and the overall management of the public funds by the government.
- Under the provisions of the FRBM Act, the government is required to place before the Parliament, three statements each financial year along with the finance and appropriation bills. The three statements are:
 - ✓ The medium-term fiscal policy statement.
 - ✓ The fiscal policy strategy statement.
 - ✓ The macroeconomic framework statement.

What is the fiscal consolidation road map provided by the Finance Minister?



- For the five years from 2026-27 to 2030-31, the Government has changed its fiscal anchor to debt to GDP from the fiscal deficit and aims to achieve a debt to GDP ratio of 50% ($\pm 1\%$) by March 31, 2031.
- In 2025-26, the ratio is estimated to be around 56.1% of GDP. As per the Union Finance Minister, this approach would provide requisite operational flexibility to the government to respond to unforeseen developments.
- At the same time, it is expected to put Central Government debt on sustainable trajectory in a transparent manner.



- Foreign Direct Investment (FDI) refers to the investment made by a company or individual in one country in business interests in another country.
- This may be in the form of either establishing business operations or acquiring business assets in other country such as ownership or controlling interest in a foreign company.
- It is non-debt creating capital flow, the meaning is, it does not primarily involve borrowing money that needs to be repaid.
- It represents an investment in the form of equity stakes, where the foreign investor becomes a part owner of the business and earns returns in the form of profits, dividends or appreciation of the investment value.
- FDI can be made in both listed and unlisted companies.

FDI prohibited in lottery business, gambling and betting, chit funds, nidhi companies and manufacture of cigars and cigarettes using tobacco.

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